

Core Corporation (2359.T)

TSE Prime | Information & Communication | Post-Earnings Verification Report (v3) — Full Research Cycle: Thesis → Pre-Registered Estimates → Public Reconciliation

HOLD

Current: ¥1,980 (Jul 17, 2026) | **Fair Value: ¥2,100–2,300** (10–11x FY27E EPS ≈¥209) | v2 BUY (Mar 2026, ¥2,305): outcome **-14.1%**

This document reconciles our pre-registered FY2026 estimates against the April 28 results, audits the process, and resets the view. No position currently held.

Metric	Value	Metric	Value
PER (FY27E guide)	9.5x	Dividend yield	3.0% (¥60)
FY26A Op. Profit	¥3,819M (+20.3%)	FY26A OPM	14.4% (+1.5pt)
FY26A EPS	¥200.40 (est: ¥201)	Consecutive profit growth	13 years
FY27 guide: OP / NI	+10.0% / +4.2%	FY27 guide: DPS	¥60 (flat)
Price: pre-print (4/24)	¥2,205	Post-print low → now	¥2,010 → ¥1,980

The Scorecard: What We Said vs What Happened

On March 29, 2026 we published FY2026 estimates on LinkedIn and GitHub — timestamped, before the print — and committed to a public reconciliation "right or wrong." This is that reconciliation. The April 28 results were reported against our numbers as follows:

Line	v2 Estimate	Guidance	Actual	Est. Error	Verdict
Revenue	¥27,800M	¥27,000M	¥26,532M	-4.6%	MISS (below guidance too)
Operating Profit	¥4,050M (+15.7% vs guide)	¥3,500M	¥3,819M (+9.1% vs guide)	-5.7%	Direction HIT / magnitude MISS
Net Income	¥2,900M	¥2,500M	¥2,879M	-0.7%	HIT
EPS	¥201	¥174	¥200.40	-0.3%	HIT
FY27 guidance leg	"+10% OP growth implied"	—	OP +10.0% / NI +4.2%, DPS flat	–OP leg	HIT / NI & DPS disappointed
Short-squeeze accelerant	200,000+ sh. mechanical buying	—	Short interest 169,300 → 5,100 pre-print	—	MISS (fuel gone before event)
Price path	Re-rate to ¥2,600–3,150	—	¥2,205 → ¥1,980 (-10.2%)	—	MISS
Stated downside floor	¥1,850 (9x × EPS ¥200)	—	Trough ¥2,010; ¥1,980 today	—	HELD (within stated band)

Estimates published Mar 29, 2026 (LinkedIn) with full model on GitHub. Actuals per FY2026/3 tanshin (Apr 28, 2026). Author held a disclosed long position at the time of the estimates; the position has since been fully exited.

Why the Price Fell While Earnings Beat

The FY2026 print itself was strong — record operating profit, +20.3% growth, OPM 14.4%, a thirteenth consecutive year of profit growth, and EPS above ¥200 exactly as modeled. The stock still fell roughly 11% in the two sessions that followed. Five forces, in order of importance: **(1)** the FY2027 guidance set net income growth at +4.2% — a hard deceleration from two years of ~+28% — and the market prices the forward line, not the trailing one; **(2)** the dividend was held flat at ¥60 (payout falling from 35.2% to 29.9%), reading as a capital-allocation non-event where a hike was hoped for; **(3)** no new defense or space production-order disclosure accompanied the results, leaving the re-rating thesis without its trigger; **(4)** the short interest that underpinned our squeeze mechanics had already collapsed from 169,300 to roughly 5,100 shares before the print — the mechanical buyer we counted on had left the theater; and **(5)** the stock had run +18.6% (¥1,964 → ¥2,330) into the event, meaning the surprise we correctly forecast was largely pre-paid. Classic buy-the-rumor structure, visible in hindsight in our own weekly monitoring data.

Process Post-Mortem: Right, Lucky, and Wrong

Right for the right reasons

The core operating thesis — structural margin expansion from the Layer-2 / AX mix shift — was validated in full: OPM reached 14.4% against 13.0% guided, and the bottom line landed within 1% of our estimate (NI -0.7%, EPS -0.3% error). The behavioral read on management also held: the company again set a beatable bar and beat it, consistent with its multi-cycle "lower, then exceed" pattern.

Right for the wrong reasons

The operating-profit beat happened — but not the way we modeled it. We projected ¥27.8B of revenue with Q4 catch-up; revenue actually finished at ¥26.5B, below even guidance. Margin did all the work: the mix shift was more powerful, and the volume assumption more wrong, than the model allowed. A correct headline built on an incorrect decomposition is a warning, not a victory.

Wrong

Three genuine process errors. **First** — we sized the outcome on the results leg and under-weighted the guidance leg. Our own v2 If-Then logic required BOTH an earnings beat AND growth-implying guidance for the re-rate; only the first leg delivered,

and the price obeyed the second. The condition was written correctly and traded incorrectly. **Second — positioning data has an expiry date.** The 0.20x lending ratio was a March snapshot; by late April the shorts had covered into the run-up. We treated a decaying variable as a constant. **Third — we did not audit what the +18.6% pre-print rally had already priced.** The discipline we now apply (reverse-DCF: solve for the expectations embedded in the current price before the event) did not exist in the v2 toolkit. It exists now because of this trade.

What Changed in the Method

Four upgrades, all already deployed in subsequent coverage. **(1) Implied-expectations audit:** before any catalyst, invert the model and quantify what the market already believes — the framework that anchors our SpiderPlus (4192) coverage, where the current price is explicitly translated into its implied growth multiplier. **(2) Dual-trigger catalysts:** event outcomes are scored on results AND forward guidance as separate, jointly-required legs. **(3) Freshness stamps on positioning data:** margin-balance and lending-ratio inputs now carry dates and are re-pulled inside one week of any event. **(4) The pre-registration cycle itself:** publish estimates before, reconcile publicly after — this document is the institutionalization of that commitment.

Updated Thesis and Rating

What survived the print: the margin structure (OPM 14.4%, company targeting 15%+), thirteen consecutive years of profit growth, a net-cash balance sheet, a ¥60 dividend now yielding ~3.0% at ¥1,980, and the GNSS/defense optionality — the JASDF anti-spoofing engagement and Michibiki credentials are intact; what is missing is a dated, sized production order. **What died:** the short-squeeze accelerant (residual interest ~5,100 shares) and the near-term multiple re-rating narrative — the market has told us it will not pay above ~11x without visible growth re-acceleration. **What decides the next leg:** the 15th Mid-Term Plan (FY2027–29). The company's 2030 revenue vision of ¥50B implies a ¥35–40B FY2029 target; if the new plan commits to a ≥10% OP CAGR, the growth thesis re-arms with the guidance leg attached this time. Announcement timing should be confirmed against IR.

Rating: HOLD, fair value ¥2,100–2,300 (10–11x FY27E EPS of approximately ¥209). At ¥1,980 the stock sits just above our original stated floor of ¥1,850 and offers 6–16% to fair value — insufficient margin of safety without a live catalyst, but too cheap to short a 13-year compounder at 9.5x with a 3% yield. **Re-entry triggers, pre-registered:** (a) a 15th Mid-Term Plan implying ≥10% OP CAGR; (b) a disclosed defense/GNSS production order with size and timeline; or (c) price at or below ¥1,850 with fundamentals intact. Absent these, patience costs nothing: the balance sheet pays us to wait elsewhere.

Financial Summary

(JPY M)	FY2024A	FY2025A	FY2026A	FY2027E (Guide)
Revenue	23,998	24,599	26,532	29,000
YoY Growth	+4.6%	+2.5%	+7.9%	+9.3%
Operating Profit	3,140	3,175	3,819	4,200
OPM	13.1%	12.9%	14.4%	14.5%
Net Income	2,270	2,242	2,879	3,000
EPS (¥)	157	156	200.40	~209
DPS (¥)	50	55	60	60
ROE	14.1%	12.6%	14.7%	—

Segment (FY2026A)	Revenue	YoY	Op. Profit	YoY
Future Society Solutions	5,084	+11.2%	741	+60.8%
Industrial Tech Solutions	13,695	+13.8%	2,312	+22.7%
Customer Business Integration	7,751	-3.0%	765	-7.7%

Sources: FY2026/3 kessan tanshin and results materials (Apr 28, 2026), EDINET filings, company IR. FY2027E is company guidance, not our estimate. Verify the 15th Mid-Term Plan release timing and any defense/Michibiki disclosures since May 2026 before publication.

Investment Summary

We called the earnings almost exactly and the stock wrong anyway — because the market prices guidance, positioning, and pre-paid expectations, not trailing beats. The estimate discipline survived contact with reality; the trade construction did not. Both facts are now part of the public record, and both are built into how we underwrite the next name. Core remains a quality compounder in a catalyst vacuum: HOLD, with pre-registered conditions for re-entry.

Disclaimer

This report has been prepared by an independent equity researcher for informational and educational purposes only. It does not constitute investment advice, a recommendation, or a solicitation to buy or sell any security. **The author held a long position in Core Corporation (2359.T) at the time the original thesis and pre-earnings estimates were published, and disclosed that position in those documents. The position has since been fully exited; the author holds no position in Core Corporation as of the date of this report.** Readers should take this history into account when evaluating the analysis.

All analysis, opinions, and estimates are based on publicly available information as of July 17, 2026 and are subject to change without notice. Financial projections involve assumptions about future events that may not materialize; actual results may differ materially.

Financial data sourced from EDINET filings, Core Corporation IR materials, and publicly available market data. Original v2 report, pre-earnings estimates, DCF model, and Python pipeline: github.com/Ryosuke0369/ryosuke-japanese-equity-research

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